

Instant Payment Programme

Subject: IPS PRODUCT RULES

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Version: 0.5



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Table of Contents

1.	Document History.....	4
2.	Related Documents.....	5
3.	Overview	6
4.	Purpose.....	6
5.	Definitions	6
6.	Application.....	7
7.	IPS Participants.....	7
8.	Use Cases and Functionalities	8
9.	Handles and Mobile Number Rules	11
9.1.	Introduction	11
9.2.	Customer Handle Management (Long Form).....	12
9.3.	Merchant Identification Management (Long Form)	14
9.4.	Handle Blacklisting Criteria.....	16
9.5.	Mobile Number Rules	16
10.	User Registration.....	18
10.1.	Introduction.....	18
10.2.	User Registration via IPSP Mobile Application	19
10.3.	User Registration via Central USSD	25
11.	Transaction Limits and Frequency.....	28
12.	Person-to-Person Send Money (P2P) Rules.....	29
12.1.	Introduction.....	29
12.2.	IPS Mobile Application User Journey: P2P Send Money using the Mobile Number.....	31
12.3.	IPS Mobile Application User Journey: P2P Send Money using IPS Handle	33
12.4.	IPS Mobile Application User Journey: P2P Send Money using the Payee QR Code 35	
12.5.	IPS USSD User Journey: P2P Send Money using central – Mobile Number.....	36
12.6.	IPS USSD User Journey: P2P Send Money using Central – IPS Handle	38
12.7.	P2P Send Money Transaction Rules	39
12.8.	P2P Send Money: Mobile Application Rules	40
12.9.	P2P Send Money: Central USSD Rules.....	41

13.	Person-to-Merchant (P2M) Payment Rules	42
13.1.	Introduction.....	42
13.2.	IPS Mobile Application User Journey: P2M Payment using Merchant IPS Handle .	43
13.3.	IPS Mobile Application User Journey: P2M Payment using Merchant Unique Code 45	
13.4.	IPS Mobile Application User Journey: P2M Payment using Merchant QR Code	47
13.5.	IPS USSD User Journey: P2M Payment using Merchant IPS Handle	48
13.6.	IPS USSD User Journey: P2M Payment using Merchant Unique Code	49
13.7.	Merchant Types.....	50
13.8.	Small Merchant Rules (Category B Merchants)	51
13.9.	Big Merchant Rules (Category A Merchants)	52
13.10.	Merchant Category Codes	52
13.11.	Merchant Transaction Rules	53
13.12.	Merchant Acquisition Standards	54
13.13.	Merchant Mobile Application Rules.....	57
14.	Merchant Cash-In.....	58
15.	Merchant Cash-Out	58

1. Document History

Version	Date	Amendments	Authority
V.0.1	14 February 2025	First draft of the Rules	IPP Business Lead
V.0.2	20 February 2025	Handle and Mobile Rules enhanced	IPP Business Lead
V.0.3	26 February 2025	Registration Rules	IPP Business Lead
V.0.4	06 March 2025	- FNB comments on use of accounts to make payment addressed. - Added Transaction limits and frequency - Added the P2P rules - Renumbering and font alignment - Grammer fixes	IPP Business Lead
V.0.5	13 March 2025	- Grammer fixes - Fixing of P2P tables - Added P2M Rules - Renumbering and font alignment	IPP Business Lead

Table 1: version control

2. Related Documents

2.1. These Rules should be read together with the following documents:

Title	Abbreviation
Payment System Management Act 14 of 2023	PSM Act
IPP Functional Specification Document (FSD) V.6.0	IPP FSD
IPP Technical Specification Document (TSD) V.0.4	IPP TSD
Bank of Namibia Open Banking Position Paper	BON OB
Bank of Namibia Quick Response Code Guidance Note	BON QR Code
Bank of Namibia Solution Design Document Version 0.2	SDD
Determination for the Authorisation of Payment System Operators and System Participants in the National Payment System	PSD-6
Determination on Card Interchange and ATM Surcharging	PSD-11
Determination on the Issuance of Electronic Money in Namibia	PSD-3
Namclear New Services Functional Specification V6.0	Namclear SFS

Table 2: Document references

2.2. Should there be any discrepancies or ambiguities in interpreting these Rules and the PSM Act 14 of 2023 and any of its subordinate regulations, the provisions of the PSM Act and the regulations will take precedence.

2.3. Should there be any discrepancies or ambiguities in interpreting these Rules and the IPP TSD, IPP FSD or any other industry or PCH document, the provisions of these Rules will prevail in so far as the Instant Payment Solution is concerned.

3. Overview

- 3.1.** The Instant Payment Solution (IPS) is a payment and clearing switch that enables both banking institutions and non-banking financial institutions to provide instant payment services through bank accounts and electronic money (e-money) wallets in an interoperable and multidimensional payment ecosystem.
- 3.2.** The IPS is an API-based solution that enables IPS participants to seamlessly interface various payment applications such as mobile applications, USSD, internet banking, and QR code payments, among others to provide the end user with a fast payment experience regardless of their bank or non-bank e-money issuer.
- 3.3.** The IPS allows for interoperability across payment channels, devices, ATMs and institutions for inclusive participation. It also allows interoperability between multiple identifiers such as national identity, mobile number, and unique aliases.

4. Purpose

- 4.1.** The purpose of the IPS Product Rules is to establish and provide a standardised framework that governs how the IPS use cases and functionalities should operate and be rolled out by the instant payment solution participants (IPSPs). The Rules aim to provide a uniform and seamless user experience of the IPS services regardless of the IPSP providing the services. The user experience referred to includes participants, third parties, merchants, and end users.

5. Definitions

- 5.1.** Unless the context indicates otherwise, the words and expressions used herein will have the same meaning assigned to them in the PSM Act, and the IPP FSD.

6. Application

- 6.1.** These product rules apply to a broad range of stakeholders within the IPS payment ecosystem. These include:
- a) The instant payment solution operator
 - b) The instant payment system participants
 - c) Third party enablers
 - d) Merchants / business
 - e) Public Institutions, Offices, Ministries and Agencies
 - f) Individual users

7. IPS Participants

- 7.1.** IPS Participants (IPSP) will be responsible for performing the following functions / roles, as applicable:

7.1.1. Payer Instant Payment Solution Participant (Payer IPSP): Banks/non-banks can onboard a customer on an IPS enabled app allowing the customer to register himself on IPS services and providing him the options to approve a financial transaction or non-financial request wherever necessary.

7.1.2. Payee Instant Payment Solution Participant (Payee IPSP): Banks/non-banks can onboard a customer/merchant and allow them to receive money. It is also known as beneficiary IPSP.

7.1.3. Remitter SoV Provider: All IPS users need to have a banking account or an e-money wallet with an IPS enabled bank/non-bank. While performing a transaction, the user's bank account / wallet will be debited. The remitting SoV Provider also holds the responsibility to authenticate the IPS PIN set by the customer.

7.1.4. Beneficiary SoV Provider: Any credit going to an IPS user will be credited in beneficiary bank/non-bank account or wallet. The bank/non-bank receiving the funds in IPS transactions will be acting as a beneficiary.

8. Use Cases and Functionalities

8.1. For go-live, the IPS supports seven (7) use cases namely person-to-person (P2P), person-to-business/merchant (P2B/M), government-to-person (G2P), business-to-person (B2P), merchant cash-in, merchant cash-out and ATM withdrawals which are all significant and relevant to immediately enhancing financial inclusion and securing adoption from the public. During phase 2, additional use cases such as request-to-pay, person to government (P2G) and cross-border payments will be added to complete the IPS suite of services.

Uses cases	User type	Features	Channels	Alias
P2P	Individual customer and sole trader	- Send money. - Receive money. - Preapproved authorised payments	- Central USSD - Mobile App - Internet banking	15–20-character full form alias: (john123@sovprovider 9-digit short form alias: 841235684 (linked to full form)
P2B/M	Individual customer to merchant	Pay merchant	- Central USSD - Mobile App - Internet banking	Payment to merchant full form alias of 15-20 characters: merchant123@sovprovider

Uses cases	User type	Features	Channels	Alias
			QR Code	merchant short form alias: 8-digit unique number mapped to full form
G2P	Government agencies to person	Government pension and grants through Bank of Namibia	Bank of Namibia (CMBO)	Bulk payments from IPN handle: governmentpayments@IPN (Note: These will be Pre-Auth transactions)
B2P	Business to person	Preauthorised business payments (one to many)	Business	Payment from merchant full form alias of 15-20 characters: merchant123@sovprovider
Cash in at merchant	Individual customer cash in at merchant	- Cash-in providing mobile number (short-form alias) - Cash in scanning merchant QR code	- Mobile app - Central USSD - QR Code	Individual provides merchant with short form alias (mobile number)
Cash-out at merchant	Individual customer cash-out at merchant	- Cash-out by scanning merchant QR code - Cash-out by inserting	- Mobile App - Central USSD - QR Code	- Merchant QR code - Merchant unique code

Uses cases	User type	Features	Channels	Alias
		merchant unique code in USSD menu		
ATM withdrawal	Individual customer withdrawal at ATM	Individual withdrawal from ATM using short form alias (mobile number)	- ATM - Central USSD	Short form alias (mobile number)

Table 3: IPS use cases overview.

8.2. The IPS is predominantly a mobile application solution meaning that users require a mobile device to perform IPS services. Both smartphones and basic features are supported. For P2P and P2B payments, users can make use of mobile applications, USSD, QR code and online banking to transact. Online banking transactions will be preauthorised. A user with cash will be allowed to fund their store of value at any enabled merchant by initiating the cash-in service using their mobile phone through a mobile application, USSD or scanning the merchant's QR code. A similar approach will be followed for cashing out at merchant. Government to person payments will be preauthorised payments facilitated by the Bank of Namibia (banker to Government) on behalf of government agencies to government beneficiaries. Like G2P, businesses will also be enabled to perform bulk payments to persons through a mobile application or online banking. The use cases and channels provided below are the basis of the product rules provided in this document which aim to detail the functionalities that all IPSPs must adhere to.

Channels / Use Cases	P2P	P2B	Cash in at merchant	Cash out at merchant	G2P	ATM	B2P
Mobile app	✓	✓	✓	✓	✗	✓	✓
USSD	✓	✓	✓	✓	✗	✓	✗
QR code	✓	✓	✓	✓	✗	✗	✗
Online banking	✓	✓	✗	✗	✓	✗	✓

Table 4: IPS use cases and channels overview.

9. Handles and Mobile Number Rules

9.1. Introduction

The effective management of customer and merchant identifiers is critical to ensuring the seamless functioning of the Instant Payment Solution (IPS). This section outlines the guidelines and standards governing the creation, usage, and maintenance of IPS handles and mobile number rules. IPS handles serve as simplified and user-friendly aliases that enable customers and merchants to perform transactions without relying solely on lengthy account numbers. These handles, combined with strict mobile number management protocols, aim to enhance user convenience while maintaining system integrity, security, and interoperability. This section details the rules for customer and merchant handle issuance, uniqueness requirements, handle reactivation policies, and mobile number formatting and usage, all of which contribute to the overall efficiency and reliability of the IPS ecosystem.

9.2. Customer Handle Management (Long Form)

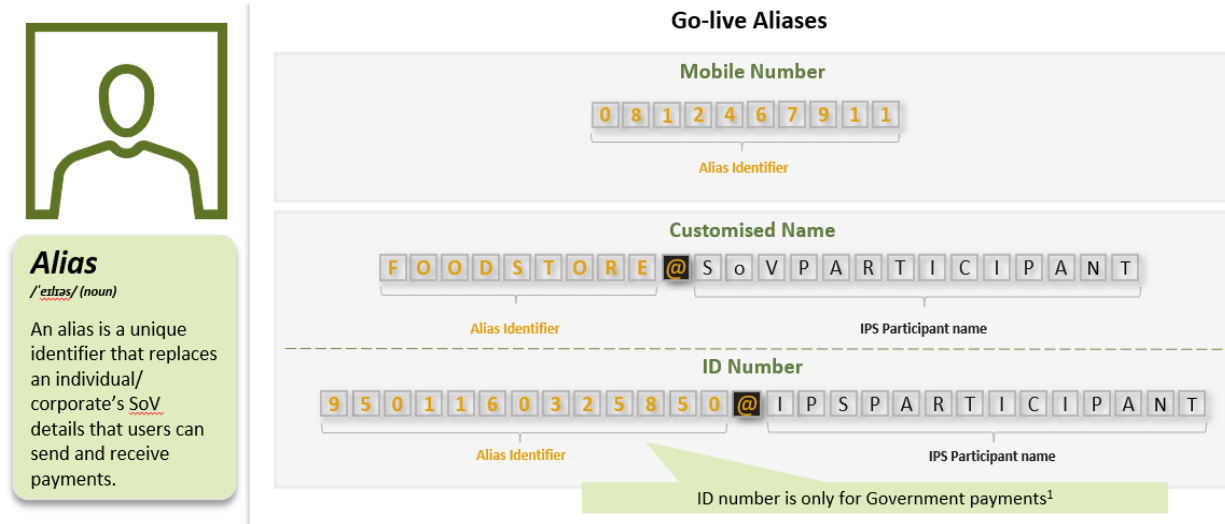


Figure 1: Alias construct

9.2.1. Each IPSP can issue their customers with an IPS handle. The handle properties are as follows:

- The handle can be the customer's name, surname or account number followed by the "@" symbol and the IPSP's routing handle. For example, [username@IPSP](#).
- The handle must be unique and can be alphanumeric.
- The handle must not be longer than 20 characters.
- The IPS handle must be in lower case only.
- The customer's mobile number can not be a handle.
- Handles should not contain offensive characters / phrases / names.

9.2.2. A customer's IPS handle should be mapped to the customer's account number or e-money wallet number.

9.2.3. Once a customer's IPS handle has been opted by a customer and later the profile is closed, then the IPSP should not allow this IPS handle to be used by any other person/entity for a period of 24 months post the deactivation by the initial customer.

- 9.2.4.** The same customer can reactivate their own handle through the IPSP before the 24 months mentioned above lapse.
- 9.2.5.** Each IPSP is required to maintain a database of all customer IPS handles that are linked to the customer's bank account or e-money wallet. This should include a list of handles that are blacklisted, not permitted and inactive.
- 9.2.6.** The IPS Operator will maintain a consolidated database of all customer IPS handles that are active, blacklisted, not permitted and inactive.
- 9.2.7.** Every customer handle created by an IPSP is subject to approval by Instant Payment Namibia.
- 9.2.8.** An IPS customer can perform an IPS transaction using their IPS handle, and mobile number.
- 9.2.9.** An IPS customer can have multiple handles with one IPSP or just one handle linked to multiple SoVs. This means that if a customer has 3 SoVs with one IPSP, they can (a) be assigned a handle per SoV by that specific IPSP or (b) the IPSP can simply assign one handle for all three SoVs. If the IPSP choose option (b), only one SoV can be active on the IPS at a time.

One Customer with multiple SoVs	SoVs at IPSP1	(a) Handles at IPSP1	(b) 1 handle at IPSP1
	Cheque Account	account@IPSP1	customer@IPSP1
	Savings Account	savings@IPSP1	customer@IPSP1 ¹
	Wallet	wallet@IPSP1	customer@IPSP1

¹ In this example, the customer has linked their handle to their savings account meaning only the savings account can be associated with that handle and the other 2 are not active on the IPS.

Table 5: Multiple SoVs at 1 participant

9.2.10. An IPS customer can have multiple handles across IPSPs and all can be active. If the customer chooses to use a third-party mobile application (different from their SoV Provider) for IPS, they can only link one handle at the time to that mobile application. Note that a third-party mobile application provider can also be an IPSP (refer to 7.1.1 above).

	IPSPs	Handles at IPSPs	Third Party IPSP Mobile App
One Customer with multiple IPSPs	IPSP1	customer@IPSP1	Can choose to link one at a time
	IPSP2	customer@IPSP2	
	IPSP3	customer@IPSP3	

Table 6: Multiple IPSPs

9.3. Merchant Identification Management (Long Form)

9.3.1. Each IPSP can issue their merchants with a merchant handle with the following properties:

- The merchant handle should be simple, memorable and relatable.
- The merchant handle can be the merchant's trading name followed by the "@" symbol and the IPSP's routing handle. For example, [bigshop@IPSP](#).
- The merchant handle must be unique and can be alphanumeric.
- The handle must not be longer than 20 characters.
- The handle must be lower case only.
- The owner's name cannot be the handle.

9.3.2. An IPSP can assign a merchant with an 8-digit unique code that can be linked to the merchant's full form handle.

- 9.3.3.** The merchant unique code cannot exceed 8 digits or else it will conflict with the mobile numbers already stored in the alias directory.
- 9.3.4.** Each IPSP will be assigned with two (2) leading numbers to identify the IPSP. For example, IPSP1 may be assigned the numbers 30 and IPSP2 may be assigned numbers 41. In this case, IPSP1 issues their merchant with a unique code 30876541 which can be linked to their merchant handle i.e., [bigshop@IPSP1](#).
- 9.3.5.** A merchant with SoVs at multiple IPSPs should have the same last 6-digit unique code across multiple IPSPs, with the 2 leading numbers of the entire code still being unique to each IPSP.
- 9.3.6.** Only SMEs, MSMEs, and large merchants qualify for unique codes, sole traders will be treated as individuals meaning their full form aliases can be linked to their mobile numbers.
- 9.3.7.** Once a merchant's handle or unique number has been opted by a merchant and later the profile is closed, then the IPSP should not allow this merchant's handle or unique number to be used by any other merchant for a period of 24 months post the deactivation by the initial customer.
- 9.3.8.** The same merchant can reactivate their own handle through the IPSP before the 24 months mentioned above lapse.
- 9.3.9.** Each IPSP is required to maintain a database of all merchant IPS IDs that are linked to the merchant's bank account or e-money wallet. This should include a list of handles that are blacklisted, not permitted and inactive.
- 9.3.10.** The IPS Operator will maintain a consolidated database of all merchant IPS handles that are active, blacklisted, not permitted and inactive.

9.3.11. Every merchant ID created by an IPSP is subject to approval by Instant Payment Namibia.

9.3.12. A merchant onboarded onto the IPS can send and receive money using their merchant handle, merchant unique code, or e-money wallet number.

9.4. Handle Blacklisting Criteria

9.4.1. Any Handle that has been flagged for fraudulent activity previously must be backlisted.

9.4.2. Handles that engage with untrustworthy recipients, such as those related to gambling or the dark web, must be blacklisted.

9.4.3. Individuals attempting to establish a handle that mentions well-known figures (such as movie stars, politicians, or influencers, etc.) in Namibia should be prohibited.

9.5. Mobile Number Rules

9.5.1. When a customer is registering as a new IPS user, the mobile application or USSD menu should not require the user to enter their mobile number. This should be detected by the mobile application / USSD service.

9.5.2. Only a mobile number that is linked to a store of value (bank account or wallet) can be used for onboarding and mapping.

Mapping Handle to Mobile Number

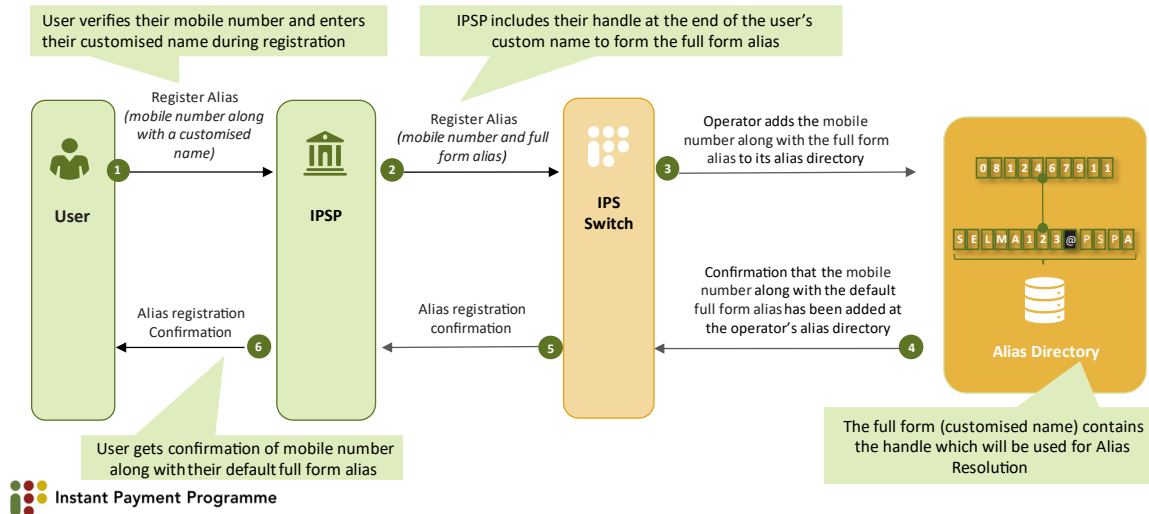


Figure 2: Mobile number mapping

9.5.3. Any leading zero “0” in the user mobile number or user mobile number starting with country code “+264” must be removed by the IPSP and the mobile number shall be 9-digit. For example, Jane can choose to provide her mobile number as 0812345679 or +264812345679 but her IPSP must ensure to remove the leading zero “0” or “+264” when linking her mobile number to a full form in the Alias Directory.

9.5.4. In the alias directory, Jane’s mobile number will be stored as 812345679 linked to her full form e.g., jane123@IPSP.

9.5.5. Mobile numbers can only be reused after 6 months. And since the customer is not inserting the mobile number but rather this is automatically linked to the account / wallet, the customer will in any case have to update their KYC at the participant before binding a mobile number.

10. User Registration

10.1. Introduction

- 10.1.1.** User registration is the process of onboarding an IPS customer onto the instant payment solution. User registration can be conducted through 3 channels namely, smartphone mobile application registration, USSD registration, and IPSPS onboarding.
- 10.1.2.** IPSPs are required to enable their mobile applications to allow Users to self-register on their mobile devices. A central USSD channel will be provided by the Operator to enable users with basic feature phone or no mobile data to onboard through USSD.
- 10.1.3.** IPSPs should be able to internally onboard their customers to the IPS, however, activation of an Ips User's Handle should be subject to consent and authorisation by the User.
- 10.1.4.** For registering a User, two (2) factors are authenticated, that is mobile number registered with the User's store of value and the ID number linked to that mobile number.
- 10.1.5.** These Rules will cover User registration using a mobile application and the central USSD menu. IPSP onboarding is left to each participant to efficiently execute.

User Journey: first-time registration

Participant APP and Universal USSD will be the two channels to be considered for onboarding first time users

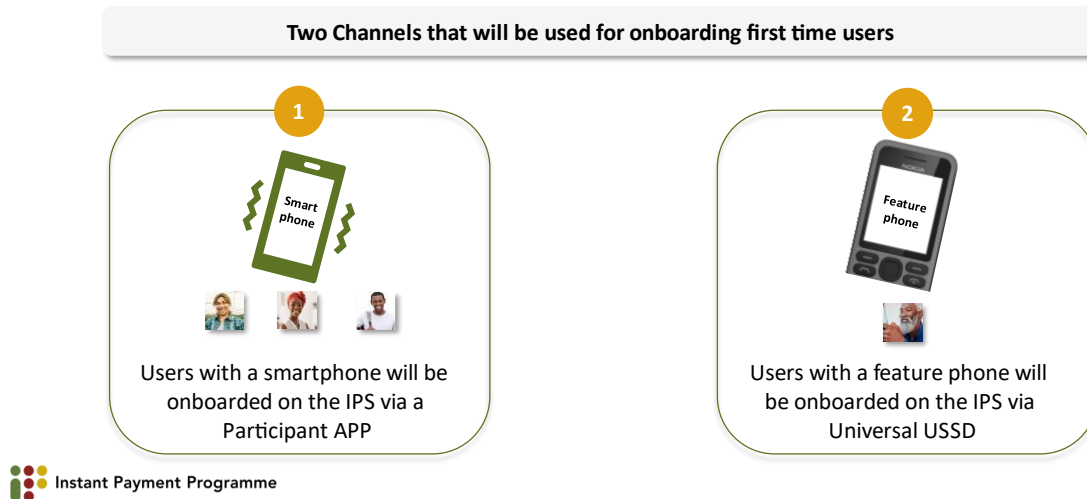


Figure 3: User registration options

10.2. User Registration via IPSP Mobile Application

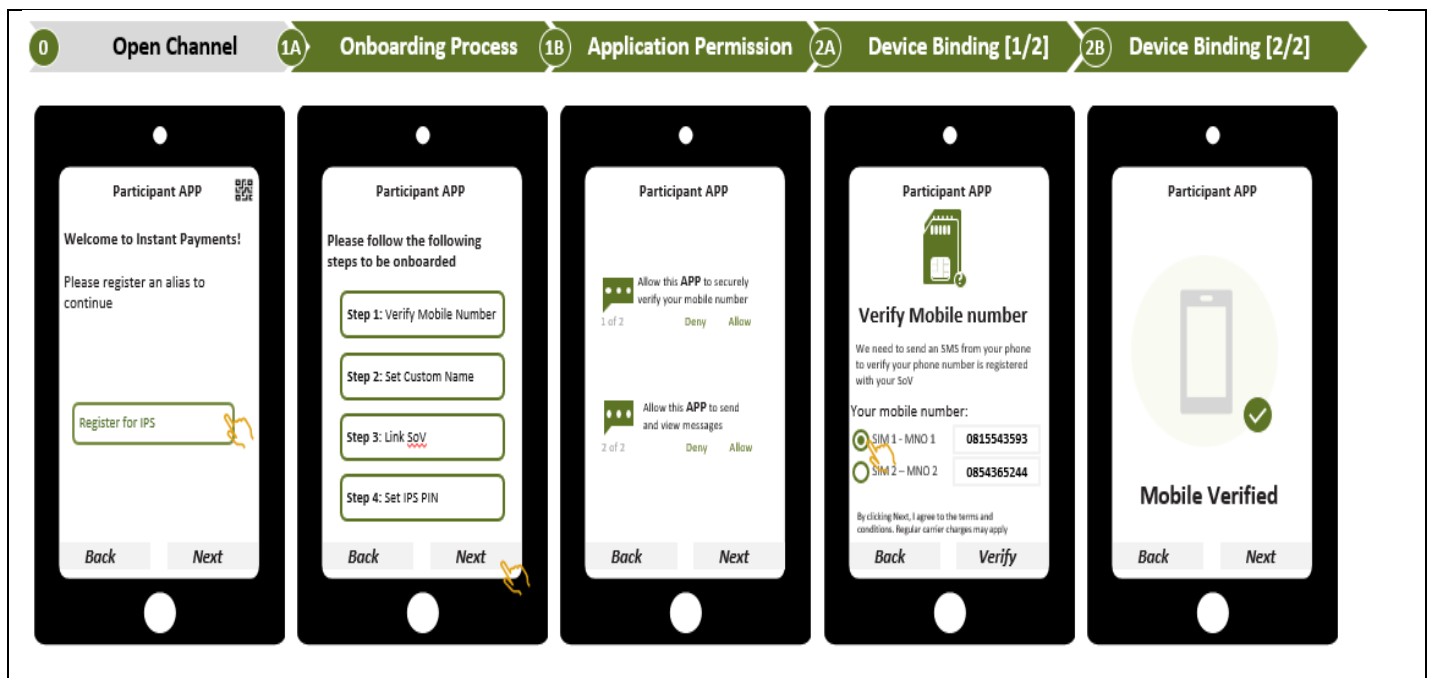
10.2.1. The table provides the requirements of an IPS User registration process.

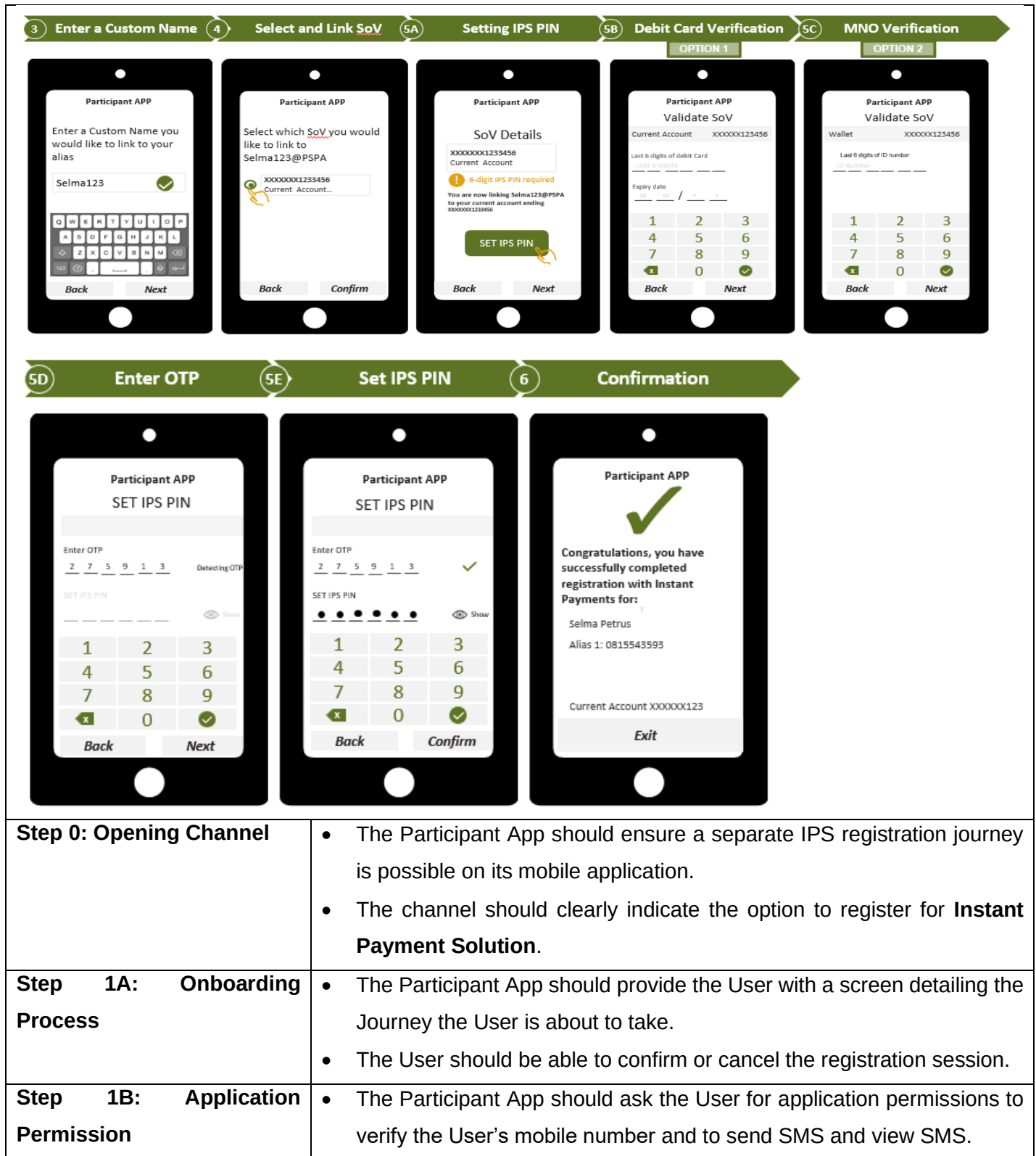
Requirement	Description
Primary Actors	• Payer IPSP • SoV Provider • IPS User
Trigger	• The smartphone user logs into their store of value provider's IPS Interface and selects the option register for the IPS product
Prerequisites	• The user has a smartphone • The user has an active sim card • The user has data • The user has a store of value and met KYC requirements

a) Onboarding Using debit Card	• Device binding • Mobile number linked to store of value • User to provide last 6 digits of debit card and expiry date
b) Onboarding using MNO Database	• Device binding • Mobile number linked to ID number at MNO • Mobile number linked to store of value

Table 7: Smartphone general rules

10.2.2. The Table provides the journey to be followed for all user registration on a participant's mobile application.





Step 2 (A and B): Device Binding	• This step allows the User to choose if they wish to conduct device binding on mobile number, they wish to register to the IPS. • Users should not be able to input the number – this should be autotected by the App. • Only one mobile number can be used during device binding. • This screen should also include the following statement: <i>“By clicking Next, I agree to the terms and conditions. Regular carrier charges may apply”</i> • Once the User verifies and consents to device binding, this feedback to be provided to the User on the next screen.
Step 3: Enter a Custom Name	• The User should be allowed to enter or view their handle that will be linked to a store of value. • Given the rules on handle properties, the IPSP can choose to automatically assign this handle or suggest plausible handles to the User. • The User handles properties provided under section 9.2 are applicable.
Step 4: Select and Link SoV	• On this screen, the user should be able to select the SoV they want to link to their handle. • The screen should present all eligible SoVs i.e., transactional account, savings account or a wallet. • The user should confirm and move to the next page.
Step 5A: Setting IPS PIN	• This page should prompt the User to set their IPS PIN and informing them that the PIN should be 6-digits. • The User should further be informed that by setting an IPS PIN, they are linking their selected SoV to a handle. The message should read <i>“You are now linking Selma123@PSPA to your current account ending XXXXXXXX1233456” (as displayed on the screen).</i>
Step 5B: Debit card verification	• The User should have the option of verifying their registration using their Debit card or through ID. If the User has a debit card, the next screen should allow the user to enter the last 6 digits and expiry date of their debit card linked to that SoV.

	The IPSP may request the User to include Debit card CVV number during verification.
Step 5C: MNO Verification	- If the User does not have a debit card or they are linking a mobile wallet, they should be allowed to verify through their MNO by providing the last 6 digits of their ID number. - A successful verification will transmit an OTP to the User. - An unsuccessful verification should inform the User that Registration has failed. - For IPS purposes, all wallets should be linked to an ID number.
Step 5D: Enter OTP	- On this screen, the User should be requested to enter the OTP received from their SoV Provider (5B) or from the MNO (5C). - The OTP should be 6 digits.
Step 5E: Set IPS PIN	- The User sets the IPS PIN - The User must re-enter the PIN to confirm - The IPS PIN is set on a page of the IPSP that is linked to the IPS Common Library. - The IPSP can choose to have both OTP and PIN set on one page.
Step 6: Confirmation	- The User should get a confirmation that they have successfully registered for IPS. - The screen should also display the User's handle and the SoV it is linked to. - The registration journey ends.

Table 8: Recommended Mobile App User Journey

10.2.3. Device Binding Rules

- Participant to obtain verification through the respective mobile network operator.
- Participant to store device binding information of the user.
- Only one mobile number can be bind to a mobile device at a time.

(Note: Here the binding would be one mobile number to one device to one app and that SIM should be present in the device with active status.)

- d) Mobile number should be linked to store of value being used on the IPS.
- e) The mobile number cannot be entered but should be prepopulated.
- f) Participant must integrate with their SMS Gateway provider to get the VMN (Virtual Mobile Number) on which the SMS will be sent from user device.
- g) SMS Gateway will send a response of this SMS to the Participant along with the mobile number.
- h) Participant must provide API endpoint to receive this response from SMS Gateway.
- i) Participant must acquire short code from SMS Gateway provider.
- j) If a customer removes the sim card from the mobile device and inserts it later again, the device binding process should be repeated.

10.2.4. General User Registration Rules

- a) The IPS Participant must provide the User with a list of all Store of Value Provider onboarded onto the IPS Switch.
- b) The user must not be allowed to proceed if the selected SoV is not active or has derogatory status (fraud related). In the non-active derogative state, the store of value provider must reject the registration request.
- c) The user must be shown the full form alias details; this includes the handle associated with the user's store of value.
- d) The user must be given the option to stop proceeding / exit the alias registration at any stage of the user journey up to the successful notification step.
- e) The user may only be able to have one default alias at any given time.
- f) The User (with consent) will be able to override any previous default alias registrations in the Operator's Alias Directory.
- g) The User (with consent) may be preboarded by the SoV Provider, but the full form alias should not be active until the user accepts the terms of service and adds a IPS pin.

- h) The User may only attempt registration three (time), on the fourth (4th) attempt, the User should not be permitted to attempt registration and should be wait 24hours to try again or alternatively contact their IPSP.

10.3. User Registration via Central USSD

10.3.1. The registration process through USSD will be different from that of mobile application. For Go-live, USSD registration will be provided by the IPS Operator.

10.3.2. For go-live, registration through a participant's USSD channel will not be permitted.

10.3.3. USSD has a limited functionality which will not allow Users to verify themselves using OTP. In case of a bank account, verification will only be done by entering the full names, mobile number, and Identification number of the user.

10.3.4. In the case of a mobile wallet, the Users full name, mobile number as well as wallet pin will be required for verification. Verification will only be performed by the store of value provider.

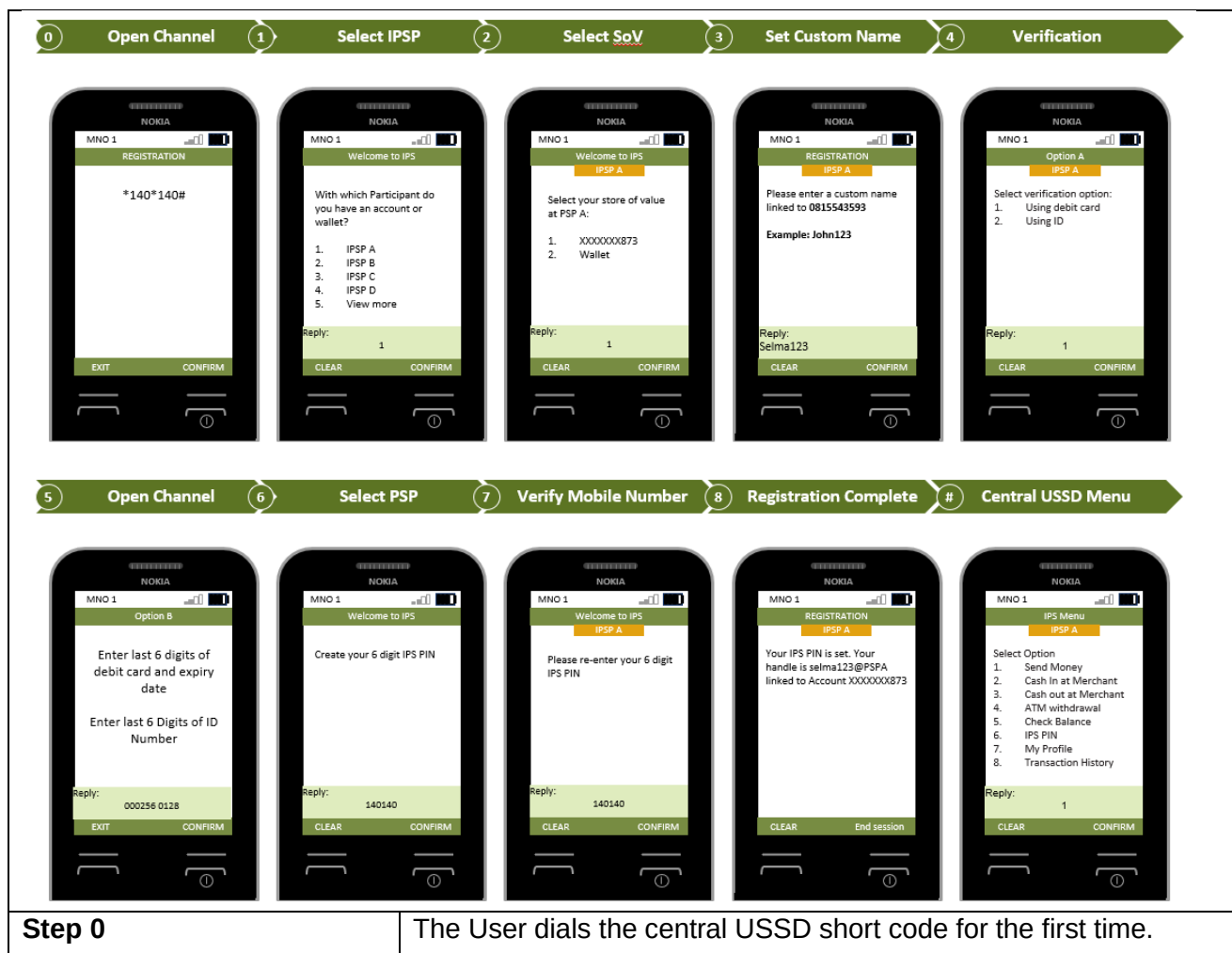
10.3.5. The table provides the requirements of a user registration process.

Requirement	Description
Primary Actors	• Payer IPSP • SoV Provider • IPS User
Trigger	• The User dials the central USSD short code (for example *140*140#) and selects the option register for the IPS product
Prerequisites	• The user has a basic feature phone or smartphone • The user has an active sim card

	The user has a store of value and met KYC requirements
c) Onboarding Using debit Card	- Mobile number linked to store of value - User to provide last 6 digits of debit card and expiry date
d) Onboarding using MNO Database	- Mobile number linked to ID number at MNO - Mobile number linked to store of value

Table 9: USSD registration general rules

10.3.6. The Table provides the journey to be followed for all user registration on the central USSD.



Step 1	The User is requested to select the Store of Value Provider they have an account with.
Step 2	The User is requested to select the store of value they want to register on the IPS.
Step 3	The User is prompted to enter a handle name.
Step 4	- The User is prompted to choose the most viable verification method. They can either verify their profile by providing the last 6 digits of their debit card and the expiry date or they can provide their ID number. - The IPSP may request the User to include Debit card CVV number during verification.
Step 5	- Depending on the choice selected, the User enters their information and is verified to proceed to the next screen. - If the verification fails at the Store of Value provider or at the MNO, the USSD session terminates.
Step 6	After successful verification, the User creates a 6-digit IPS PIN
Step 7	The User is prompted to enter the 6-digit IPS PIN again.
USSD Menu	This is the preferred central USSD menu that the User will see after they have successfully registered, and they dial the short code (*140*140#).

Table 10: Recommended USSD User Journey

10.3.7. General User Registration Rules: USSD

- The user must not be allowed to proceed if the selected SoV is not active or has derogatory status (fraud related). In the non-active derogative state, the bank must reject the request.
- The user must be shown the full Alias details; this includes the handle associated with the user's store of value.
- The user must be given the option to stop proceeding / exit the Alias registration at any stage of the user journey up to the successful notification step.

- d) The user must be provided with an opportunity to verify the details of the newly registered Alias before confirming the change.
- e) The User (with consent) will be able to override any previous default alias registrations in the Operator's Alias Directory.
- f) The User (with consent) may be preboarded by the SoV Provider, but the full form alias should not be active until the user accepts the terms of service and adds a IPS pin.
- g) In case the customer doesn't have Wallet/Debit card, and he wants to register to IPS through USSD then he should have the option of physical onboarding by visiting authorized agents or participant branches.

11. Transaction Limits and Frequency

11.1. The following daily transaction limits will apply for instant payment transactions on the IPS switch at go-live. Participants are required to ensure that the limits are adhered to. P2P and P2M are debit limits meaning they apply from origination. B2P limits require the Merchant's SoV Provider' to ensure that a particular merchant does not exceed the limit when sending to a person. The limits are subject to review as the solution and usage matures.

Use case	Description	Daily Transaction Maximum Limit	Transaction Frequency per Daily Transaction Limit
P2P	Sending from bank account	N\$10,000.00	10
	Sending from wallet	N\$10,000.00	10
	Sending through USSD	N\$5,000.00	10
P2M	Paying from bank account	N\$10,000.00	100

	Paying from wallet	N\$10,000.00	100
	Sending through USSD	N\$5,000.00	100
B2P	Preauthorised and non-preauthorised payment per individual recipient	N\$10,000.00	Unlimited
G2P	Preauthorised payment per individual recipient	N\$10,000.00	Unlimited
Cash-out at Merchant	From bank account or wallet	N\$2,000.00	2
Cash out at ATM	From bank account or wallet	N\$2,000.00	2
Cash in at Merchant	Into bank account or wallet	N\$2000.00	5

Table 11: Transaction limits and frequency

12. Person-to-Person Send Money (P2P) Rules

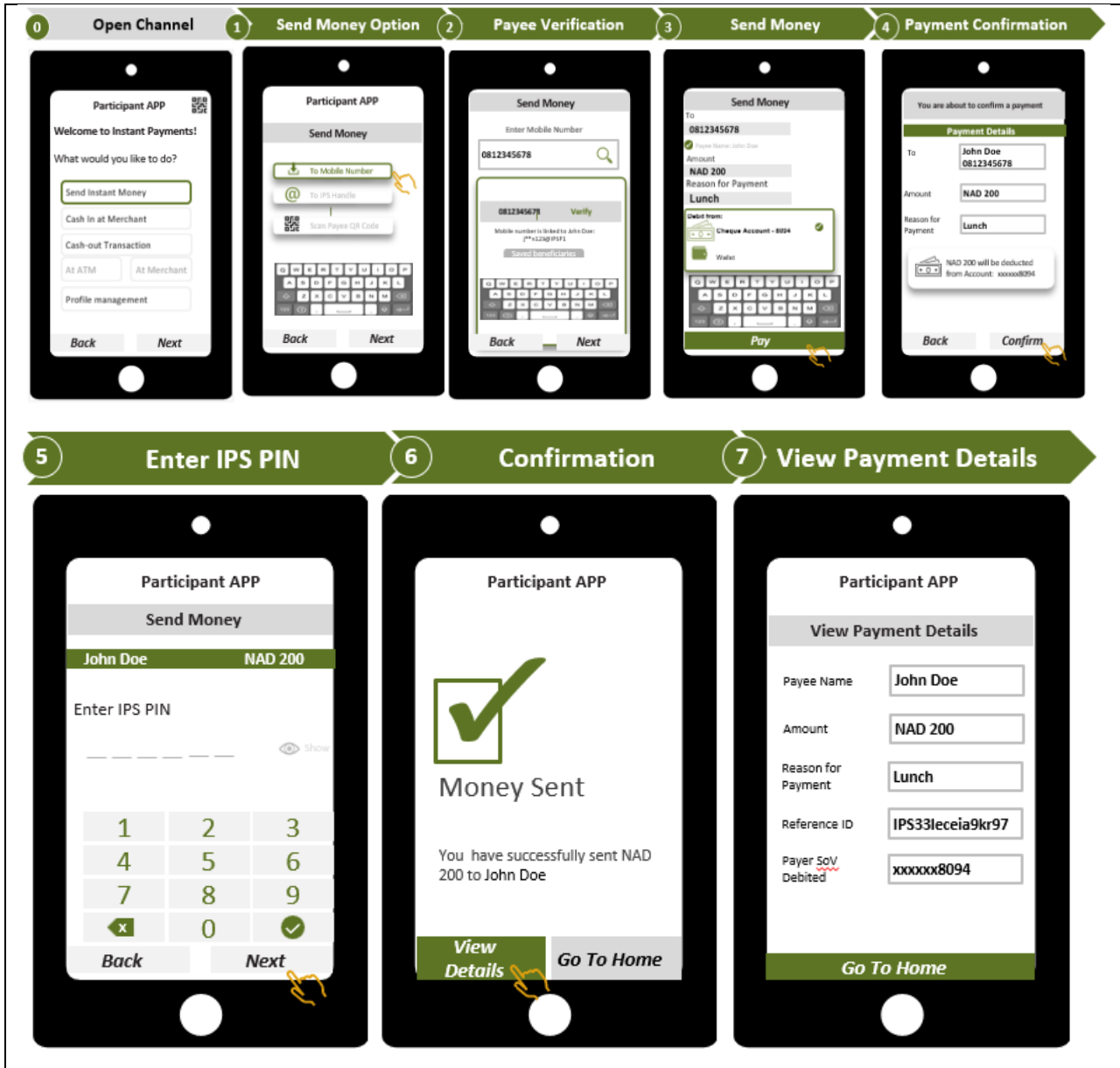
12.1. Introduction

P2P send money will be possible for all registered IPS Users. Each IPSP will provide the P2P send money functionality on their channels. IPS Users should be able to perform P2P send money using their mobile phone (both smartphone and basic feature) through a mobile application or USSD. On a mobile application, an IPS User should be able to send instant money to a mobile number, an IPS Handle or by scanning the beneficiary's static QR code. On the central USSD, an IPS User should be able to send money to a mobile number or an IPS Handle. Banks may also enable their customers to initiate P2P send money through the online banking channel. The Table provides the prerequisite requirements of for a P2P send money.

Requirement	Description
Primary Actors	• Payer IPSP • SoV Provider • Payee IPSP • IPS User • Central USSD PSP
Trigger	• The User opens the IPSP's mobile application, online banking or central USSD menu and initiates a P2P send money.
Prerequisites	• Both sender and recipient must be registered on the IPS platform with valid aliases (e.g., mobile numbers or full-form aliases like john123@ipsp). • Users must have an active Store of Value (SoV) (bank account or e-money wallet) linked to their IPS profile. • Only active transactional accounts, savings accounts and electronic wallets licensed in terms of PSD-3 are eligible. • Both payer and payee should not have derogatory status on any of their SoVs. • The IPSP's mobile application must be secured and require a password to start using the service. • Two-factor authentication is mandatory for initiating P2P send money transactions.

Table 12: P2P send money requirements

12.2. IPS Mobile Application User Journey: P2P Send Money using the Mobile Number

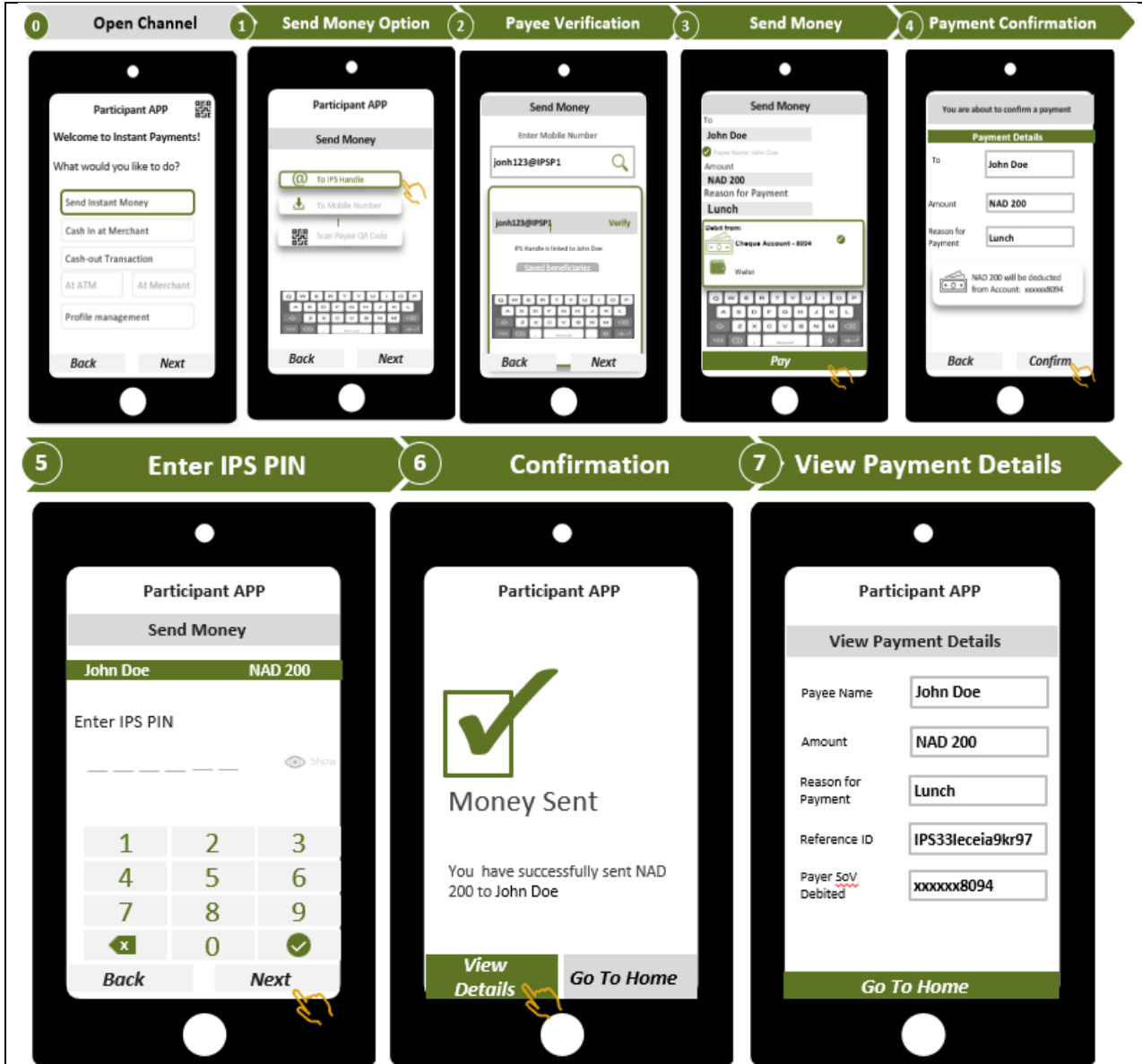


Step 0	The IPS User opens the Participant's mobile application, navigates to IPS and selects the option to send instant money.
Step 1	The IPS User selects the option to send to a mobile number.
Step 2	The IPS User is required to enter the mobile number or search it from their contact list.

	• The IPS User is prompted to verify the mobile number – this step verifies whether the selected mobile number is linked to a full form handle in the Alias Directory (see FSD) • Once successfully verified, the IPS User is shown the full form handle that is linked to the mobile number they intend to send money to.
Step 3	• The IPS User enters the amount and reason for payment • Reason for payment can be a drop-down menu or free text for the user to insert. • The User selects which store of value they wish to be debited for the send money.
Step 4	• The IPS User is presented with a payment confirmation page to validate the payment details before proceeding. • The IPS User confirms payment details and moves to the next stage.
Step 5	• The IPS User is requested to enter the 6-digit IPS PIN
Step 6	• The User is presented with a confirmation page that the transaction was successful.
Step 7 (optional)	• This optional step gives the IPS User a summary of the payment details.

Table 13: Send money using mobile number

12.3. IPS Mobile Application User Journey: P2P Send Money using IPS Handle



Step 0	The IPS User opens the Participant's mobile application, navigates to IPS and selects the option to send instant money.
Step 1	The IPS User selects the option to send to an IPS Handle.
Step 2	The IPS User is required to enter the IPS Handle or search it from their contact list. The IPS User is prompted to verify the IPS Handle – this step verifies whether the selected IPS Handle is linked to a beneficiary at the Payee IPSP (the beneficiaries handle has the IPSP's name).

	Once successfully verified, the IPS User is shown the beneficiaries full name that is linked to the IPS Handle they intend to send money to.
Step 3	The IPS User enters the amount and reason for payment Reason for payment can be a drop-down menu or free text for the user to insert. The User selects which store of value they wish to be debited for the send money.
Step 4	The IPS User is presented with a payment confirmation page to validate the payment details before proceeding. The IPS User confirms payment details and moves to the next stage.
Step 5	The IPS User is requested to enter the 6-digit IPS PIN
Step 6	The User is presented with a confirmation page that the transaction was successful.
Step 7	This optional step gives the IPS User a summary of the payment details.

Table 14: Send money using IPS Handle

12.4. IPS Mobile Application User Journey: P2P Send Money using the Payee QR Code

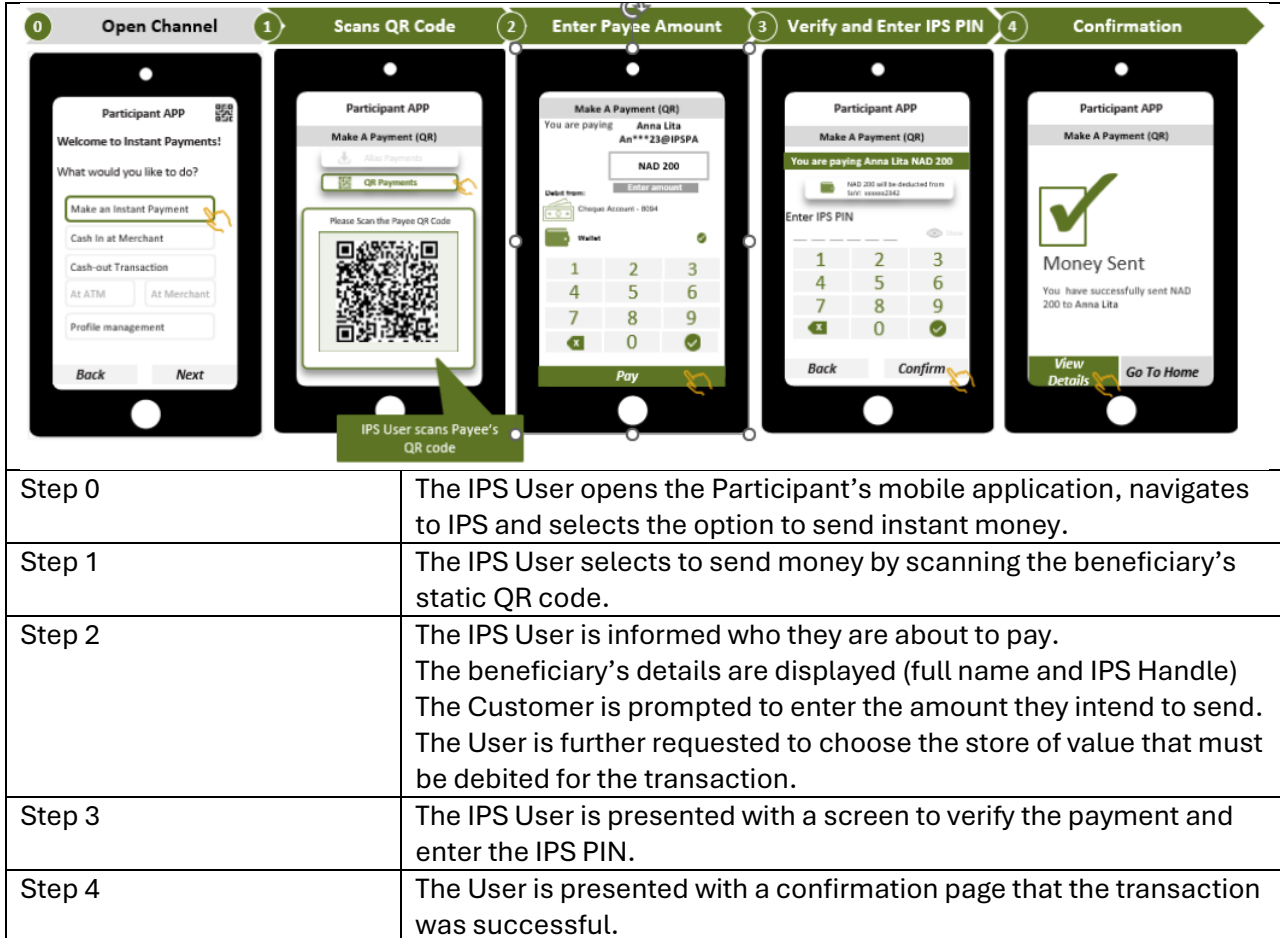


Table 15: Send money using QR Code

12.5. IPS USSD User Journey: P2P Send Money using central – Mobile Number

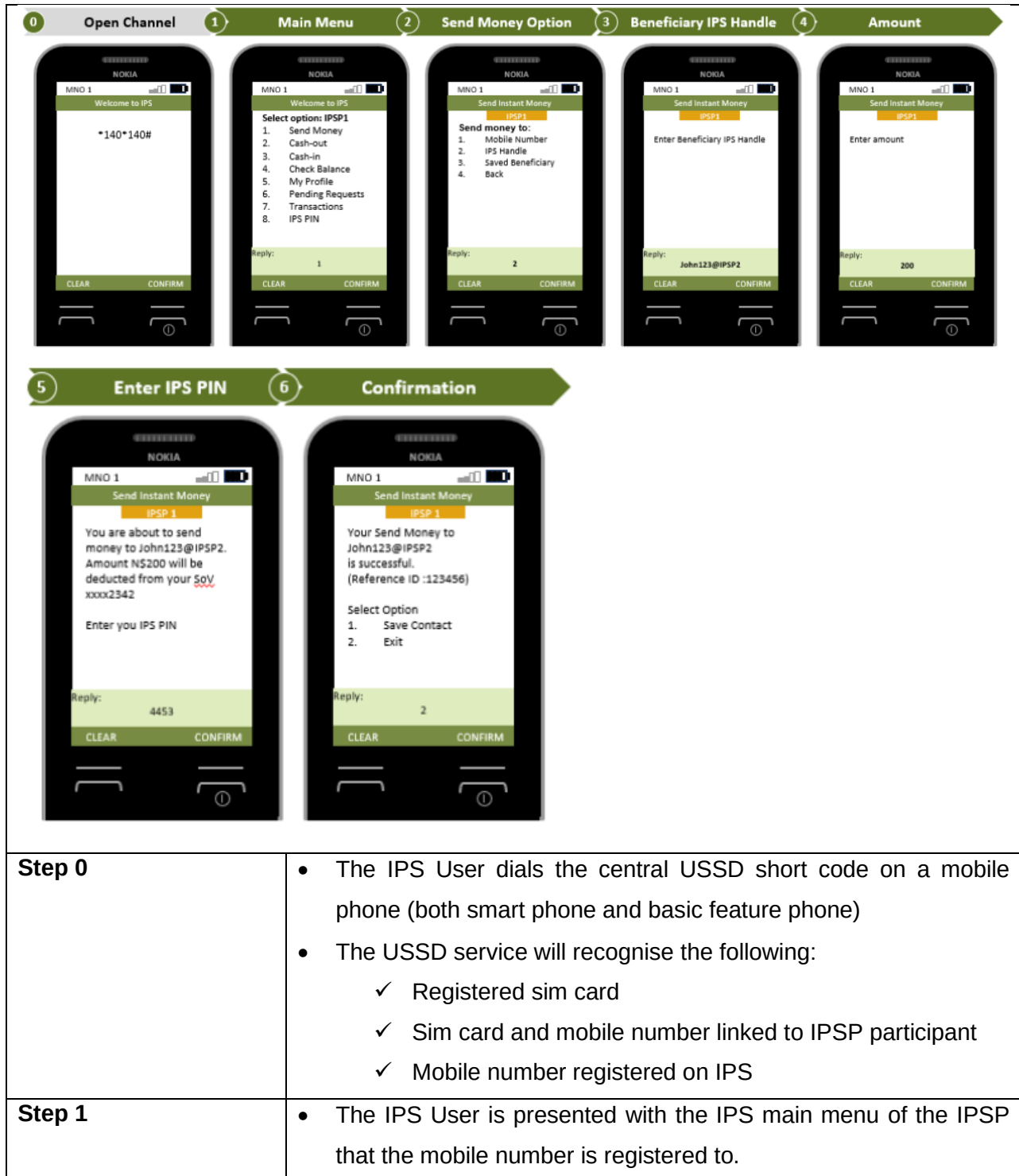


Step 0	- The IPS User dials the central USSD short code on a mobile phone (both smart phone and basic feature phone) - The USSD service will recognise the following: ✓ Registered sim card ✓ Sim card and mobile number linked to IPSP participant ✓ Mobile number registered on IPS
Step 1	- The IPS User is presented with the IPS main menu of the IPSP that the mobile number is registered to. - The IPS User selects the send money option (1).

	• The IPSP's name will be displayed on the Menu.
Step 2	• The IPS User is presented with 3 options, either to pay to a mobile number, an IPS Handle or view saved beneficiaries. • The IPS User selects option 1 to enter the beneficiary's mobile number.
Step 3	• The IPS User enters the beneficiary's mobile number and confirms.
Step 4	The IPS User is requested to enter an amount and confirm.
Step 5	• The IPS User is informed that they are about to send money to the selected mobile number with the underlying IPS handle and that an amount will be deducted to their linked store of value. • The IPS User is further required to enter their IPS PIN and confirm.
Step 6	• The IPS User is presented with the confirmation of the successful transaction and payment details.

Table 16: Send money using USSD and mobile number

12.6. IPS USSD User Journey: P2P Send Money using Central – IPS Handle



	• The IPS User selects the send money option (1). • The IPSP's name will be displayed on the Menu.
Step 2	• The IPS User is presented with 3 options, either to pay to a mobile number, an IPS Handle or view saved beneficiaries. • The IPS User selects option 2 to enter the beneficiary's IPS Handle.
Step 3	The IPS User enters the beneficiary's IPS Handle and confirms.
Step 4	The IPS User is requested to enter an amount and confirm.
Step 5	• The IPS User is informed that they are about to send money to the selected IPS Handle with the underlying Name and that an amount will be deducted to their linked store of value. • The IPS User is further required to enter their IPS PIN and confirm.
Step 6	The IPS User is presented with the confirmation of the successful transaction and payment details.

Table 17: Send money using USSD and IPS Handle

12.7. P2P Send Money Transaction Rules

12.7.1. All P2P send money transactions should observe the transaction limits and frequency provided in Table 11.

12.7.2. The IPS Switch must validate the beneficiaries handle and provide confirmation to the sender before the transaction is processed.

12.7.3. IPS Users must authenticate every transaction using an IPS PIN.

12.7.4. Once a P2P transaction is confirmed and processed, it cannot be reversed by the sender.

12.7.5. Refunds are allowed for failed transactions or disputes raised within 24 hours.

12.7.6. Reversals are initiated automatically when a recipient's SoV provider is unavailable or rejects the transaction.

12.7.7. Real-time success or failure transaction notifications for both sender and receiver are mandatory.

12.7.8. Notification of a completed transaction should include transaction ID, transaction status, transaction reason, amount, recipient alias and time of completion.

12.8. P2P Send Money: Mobile Application Rules

12.8.1. All send money options on a IPSP's mobile application should be completed in not more than seven (7) clicks.

12.8.2. An IPSP should allow an IPS User to send money using either a mobile number, an IPS Handle or scanning the beneficiary's static QR code.

12.8.3. If an IPS User selects to send money using a mobile number, after successful verification, the IPSP's mobile application should display the IPS handle of the beneficiary.

12.8.4. If an IPS User selects to send money using an IPS handle, after successful verification, the IPSP's mobile application should display the full name of the beneficiary.

12.8.5. If the IPS User selects to send money by scanning the beneficiary's static QR code, after successful validation, the IPSP's mobile application should display the full name of the beneficiary.

12.9. P2P Send Money: Central USSD Rules

12.9.1. A payment through the USSD channel should be completed on not more than 6 menus.

12.9.2. When an IPS User dials the central USSD short code, the USSD service should automatically recognise the IPSP that has registered the mobile number to the IPS. The USSD service should recognise the following:

- a) Registered sim card
- b) Sim card and mobile number linked to IPSP participant
- c) Mobile number registered on IPS

12.9.3. The IPSP's name should be presented on the main menu.

12.9.4. On the USSD channel, if the IPS User sends money to a mobile number, the channel should present the beneficiary's IPS handle for the User to confirm.

12.9.5. On the USSD channel, if the IPS User sends money to a IPS handle, the channel should present the beneficiary's full name for the User to confirm.

13. Person-to-Merchant (P2M) Payment Rules

13.1. Introduction

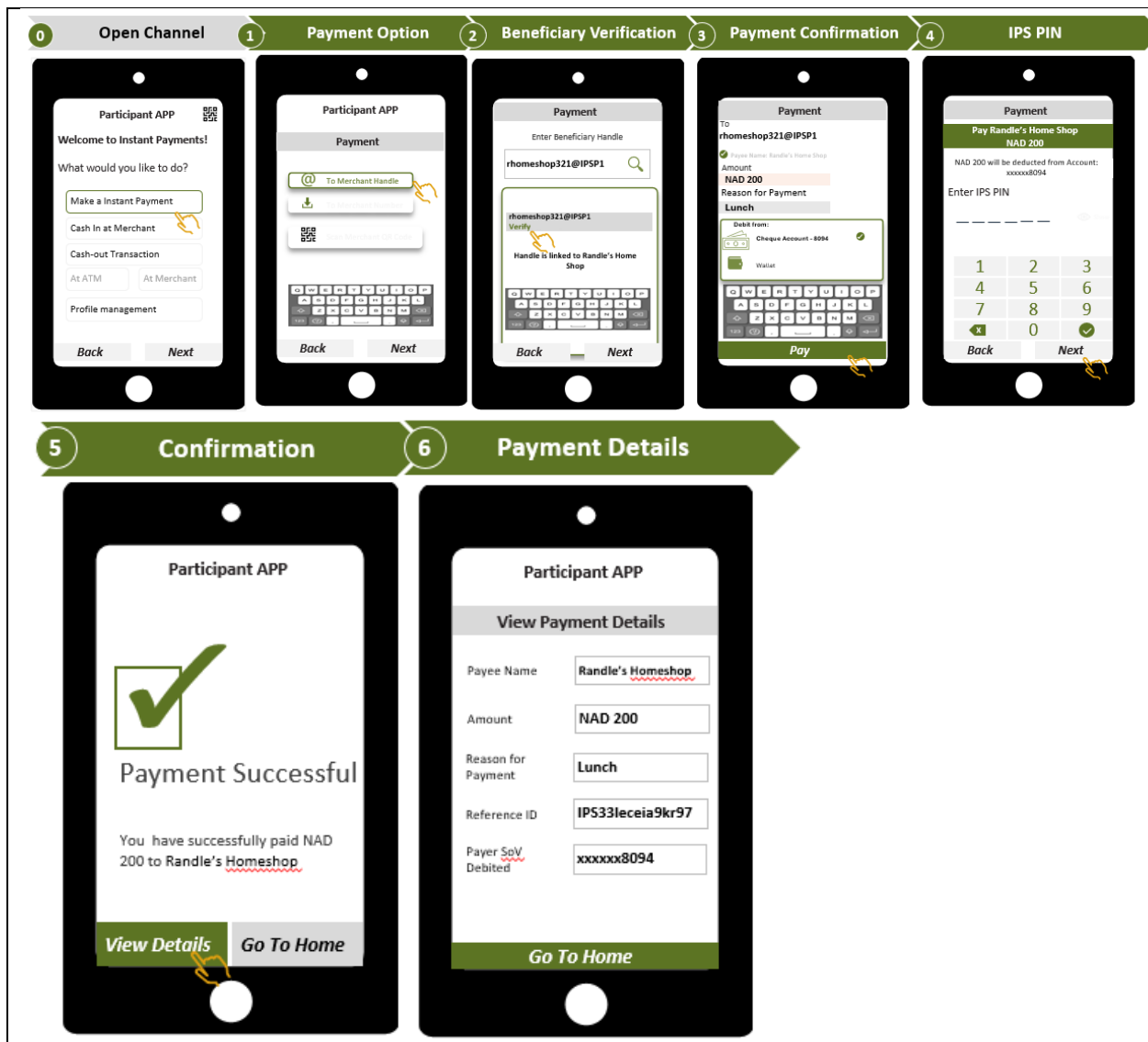
P2M payments will be possible for all registered users to make payments at merchants. Each IPSP will enable their merchants to receive instant payments. Merchants should be enabled to receive payments through their IPS handle, QR code payments, USSD and through their unique code. IPSPs should provide their merchants with a method of validating or confirming a payment once the User journey is completed. It is up to the IPSP and its merchant to integrate IPS merchant payments in existing POS devices or enable payment verification functionality on the Till or mobile application of the merchant. The Table provides the prerequisite requirements of for P2M payments.

Requirement	Description
Primary Actors	• Payer IPSP • Payer and Merchant SoV Providers • Merchant IPSP • IPS User • Central USSD PSP
Trigger	• The User opens the IPSP's mobile application, online banking or central USSD menu and initiates a P2M payment.
Prerequisites	• Both the payer and merchant must be registered on the IPS platform with valid handles. • Users must have an active Store of Value (SoV) (bank account or e-money wallet) linked to their IPS profile. • Only active transactional accounts, savings accounts and electronic wallets licensed in terms of PSD-3 are eligible to pay merchants.

	- Both payer and merchant should not have derogatory status on any of their SoVs. - The IPSP's mobile application must be secured and require a password to start using the service. - Two-factor authentication is mandatory for initiating P2M payments.
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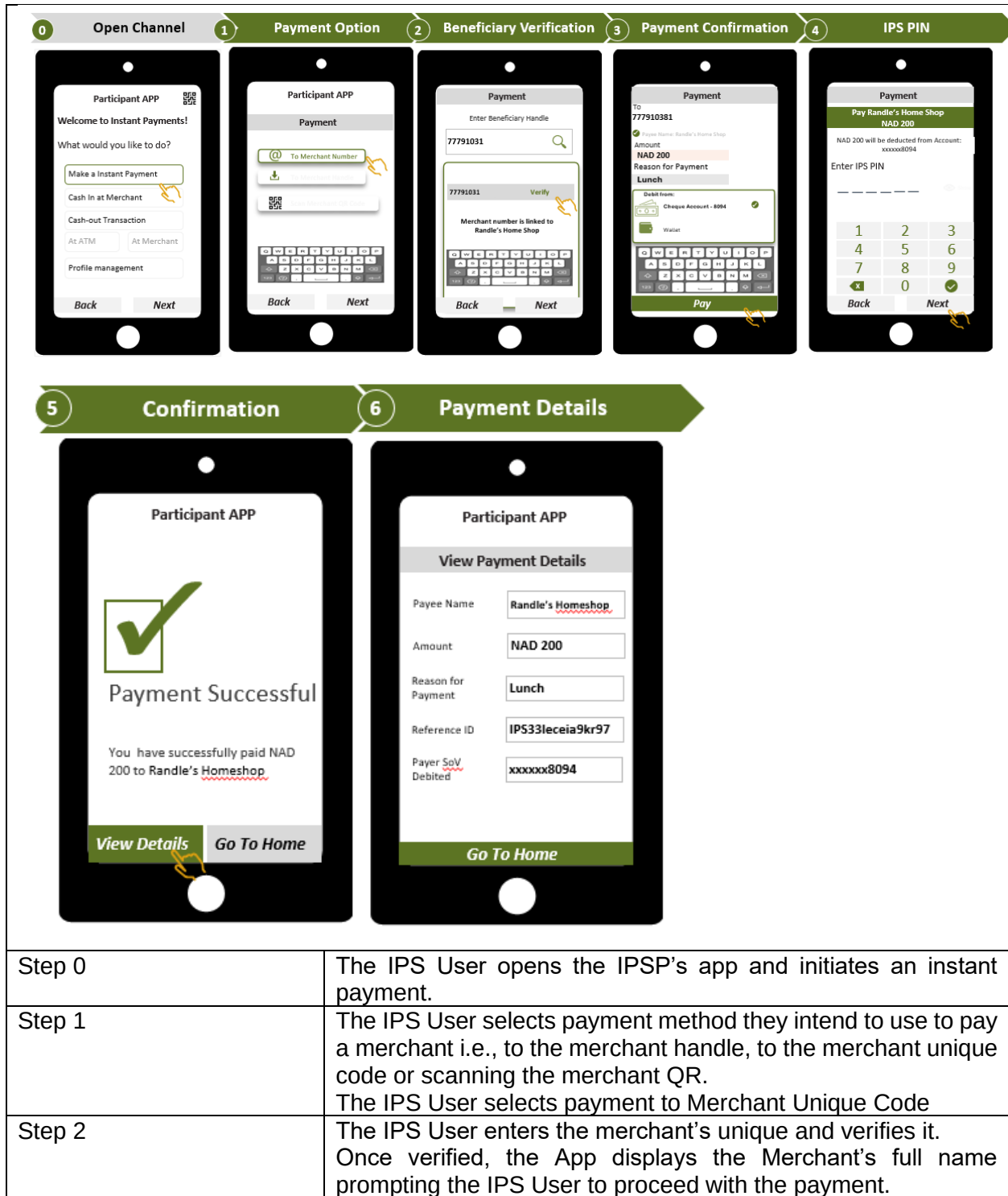
Table 18: P2M payment requirements

13.2. IPS Mobile Application User Journey: P2M Payment using Merchant IPS Handle



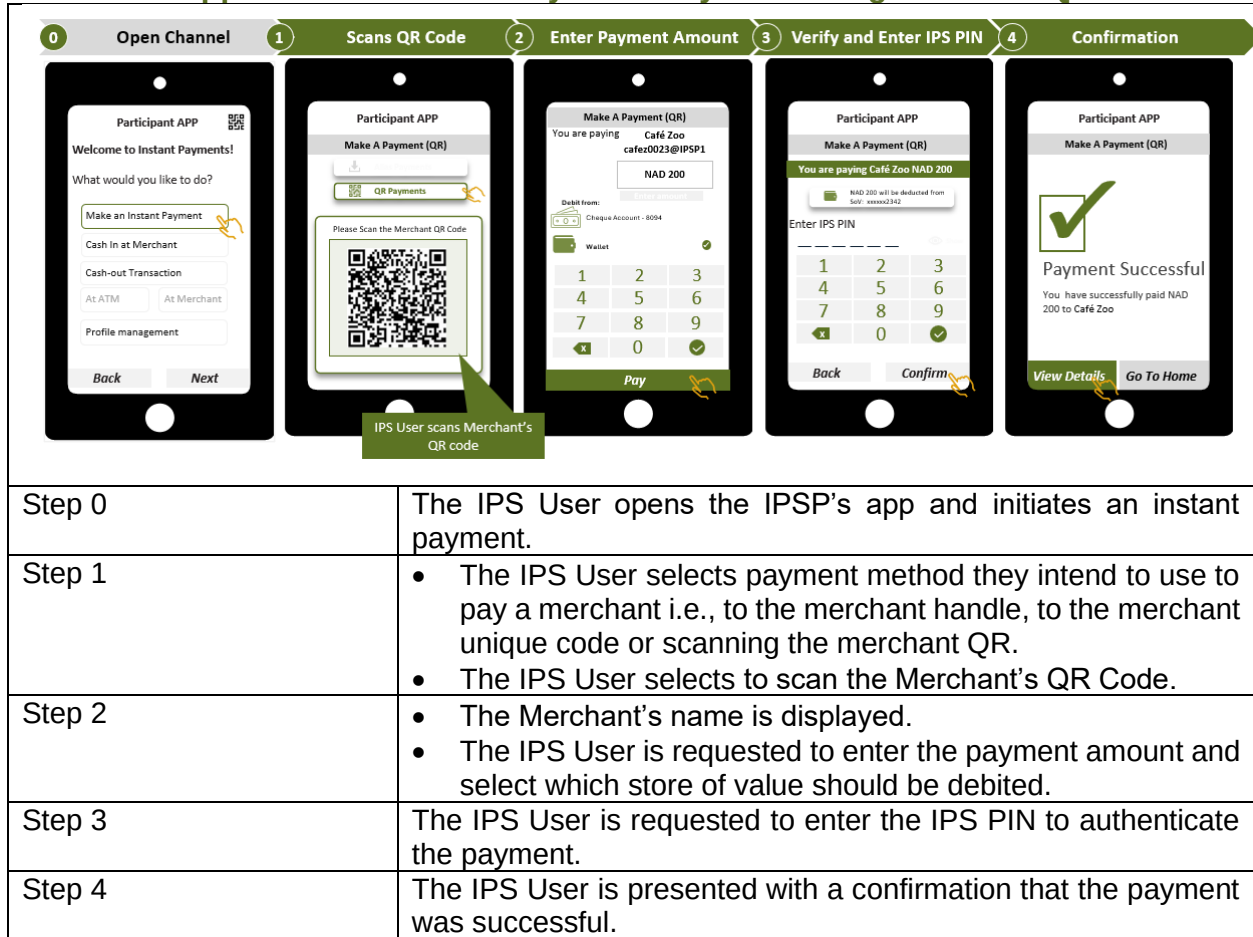
Step 0	The IPS User opens the IPSP's app and initiates an instant payment.
Step 1	The IPS User selects payment method they intend to use to pay a merchant i.e., to the merchant handle, to the merchant unique code or scanning the merchant QR. The IPS User selects payment to Merchant Handle.
Step 2	The IPS User enters the merchant's long form handle and verifies it. Once verified, the App displays the Merchant's full name prompting the IPS User to proceed with the payment.
Step 3	The IPS User is presented with a payment confirmation screen to ensure that it is the correct merchant, amount and the store of value to be debited.
Step 4	If satisfied, the IPS User enters their IPS PIN to authenticate the transaction.
Step 5	The IPS User is presented with a confirmation that the payment was successful.
Step 6	AN option page for the IPS User to view the payment details.

13.3. IPS Mobile Application User Journey: P2M Payment using Merchant Unique Code

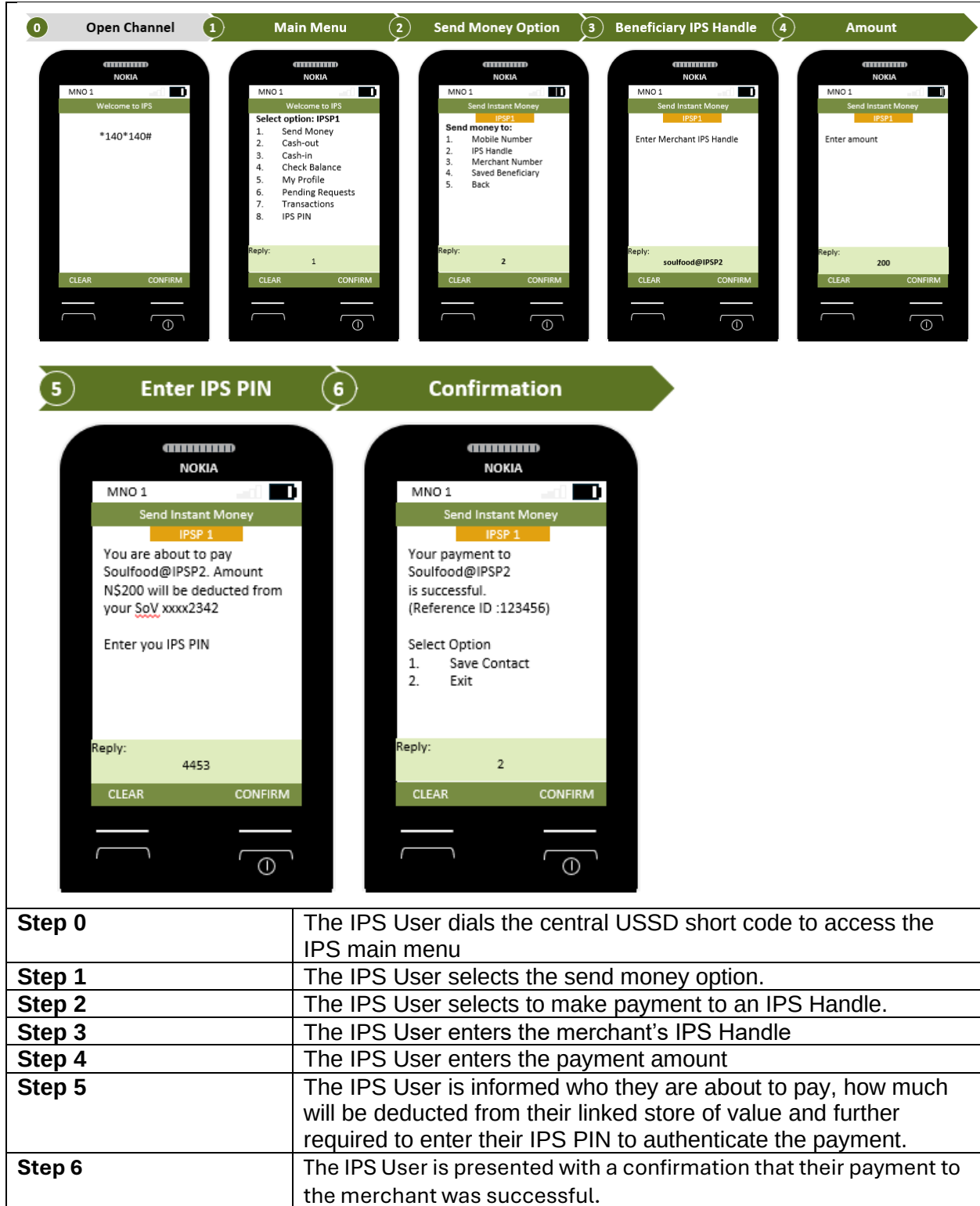


Step 3	The IPS User is presented with a payment confirmation screen to ensure that it is the correct merchant, amount and the store of value to be debited.
Step 4	If satisfied, the IPS User enters their IPS PIN to authenticate the transaction.
Step 5	The IPS User is presented with a confirmation that the payment was successful.
Step 6	AN option page for the IPS User to view the payment details.

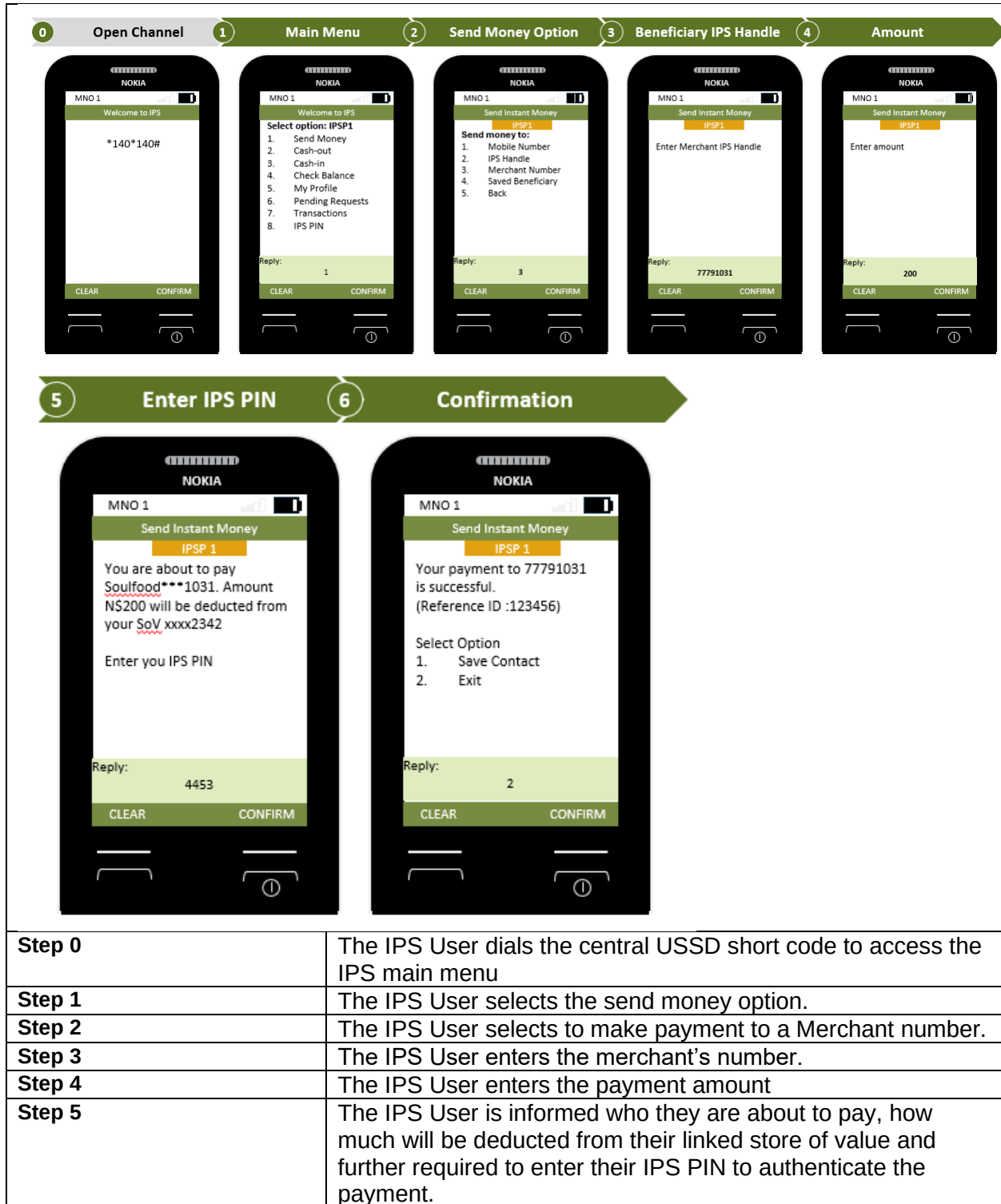
13.4. IPS Mobile Application User Journey: P2M Payment using Merchant QR Code



13.5. IPS USSD User Journey: P2M Payment using Merchant IPS Handle



13.6. IPS USSD User Journey: P2M Payment using Merchant Unique Code



Step 6	The IPS User is presented with a confirmation that their payment to the merchant was successful.
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13.7. Merchant Types

- 13.7.1.** Merchants are categorised in two (2) types, small merchants such as Sole Traders that are not registered by BIPA or recognised by the Companies Act, and big merchants that are not Sole Traders but are recognised under the Companies Act or established by an Act of Parliament.
- 13.7.2.** Payments to Small Merchants will be referred to Person-to-Small Merchant (P2SM) and Payments to Big Merchants will be referred to as Person-to-Big Merchants (P2BM)
- 13.7.3.** Small merchants are referred to as Category B Merchants and in this context includes street vendors, kapana vendors, home shops, informal trading establishments, and taxi drivers that are not formally registered with the Business and Intellectual Property Authority (BIPA).
- 13.7.4.** Big merchants are referred to as Category B Merchants and includes close corporations, private limited companies, public companies, section 21 companies, and state-owned enterprises established in terms of Acts of Parliament.
- 13.7.5.** Both merchant types will be assigned with Merchant Category Codes (MCCs) that will further identify type of business and pricing category.
- 13.7.6.** A Merchant Category Code is an ISO defined standard to classify merchant categories in retail payments across payment modes, including the IPS.

13.8. Small Merchant Rules (Category B Merchants)

- 13.8.1.** Small Merchants must be issued with a static QR code and a unique merchant code by their IPSP to accept IPS payments.
- 13.8.2.** Small Merchants must be assigned MCC 7407 to differentiate them from other merchants.
- 13.8.3.** The responsibility of onboarding Small Merchants and assigning the MCC shall be of the Payee IPSP.
- 13.8.4.** While all transactions under the Small Merchants category shall be settled as P2P transactions, they will be categorised as merchant transactions based on the MCC.
- 13.8.5.** Small Merchants will have a daily receiving limit of N\$10,000 through their IPS QR Codes or Merchant Unique Codes.
- 13.8.6.** Small Merchants that have completed Device Binding as part of Individual User onboarding should be able to send money and receiving money using their mobile number² (on top of having a QR code and unique merchant code that is linked to their MCC).

² If their mobile number is mapped to their full form handle.

13.9. Big Merchant Rules (Category A Merchants)

- 13.9.1.** A Big Merchant must be issued with a static QR code and a unique merchant by their IPSP to accept IPS payments.
- 13.9.2.** Each Big Merchant must be assigned with a MCC by its IPSP, to differentiate them from other merchants.
- 13.9.3.** The responsibility of onboarding Big Merchants and assigning the MCC shall be of the Payee IPSP.
- 13.9.4.** There will be no daily receiving limit for Big Merchants unless otherwise specified in an IPN Circular and based on the relevant MCC.

13.10. Merchant Category Codes

- 13.10.1.** The Merchant Category Codes adopted by VISA and MasterCard shall apply to Namibian Merchants in the IPS.
- 13.10.2.** Small Merchants (Category B) must be onboarded under the **MCC 7407** by their IPSPs.
- 13.10.3.** The switching fee for (P2SM) transactions acquired under **MC 7407** will be the same as P2P transactions.
- 13.10.4.** The switching fee for all other MCCs shall be the same unless otherwise specified in an IPN Circular.

13.11. Merchant Transaction Rules

- 13.11.1.** Acquirers must ensure that all merchants display their QR codes and Merchant Unique Codes at merchant check-out platforms (both instore and online).
- 13.11.2.** Whenever acquiring a merchant, an IPSP must whitelist the payment address of the merchant (verify merchant handle) so that whenever payments are made to the verified merchant addresses, the IPSP's mobile application can show "handle verified" icon/colour. This is critical to minimise phishing attacks by imitating payment requests from well-known merchants.
- 13.11.3.** IPSP mobile apps must show the transaction details (amount, transaction reference details, address to which payment is being made, clear indication if the merchant handle is whitelisted in the IPS, and the payment confirmation details post payment) during and after the transaction is done for all recent transactions.
- 13.11.4.** IPSPs may also have the option of showing the last ten financial transactions in the "Transaction History" option.
- 13.11.5.** A merchant's handle should be distinctly visible in the mobile application landing page, and visible along with the merchant's QR code and unique code.
- 13.11.6.** The obligation to acquire, manage and monitor merchant relationships is the responsibility of acquiring IPSPs. Acquiring IPSPs must take full liability for merchants onboarded by them directly or by partners.

13.12. Merchant Acquisition Standards

13.12.1. An acquiring IPSP must monitor its merchant's activity periodically i.e., onboarding criteria, transaction monitoring & control, training etc.

13.12.2. An acquiring IPSP should ensure that the following points are in place and adequately addressed:

- Board approved policy for merchant acquisition
- Agreements with various stakeholders (as appropriate)
- Merchant underwriting
- Merchant portfolio and risk monitoring
- Merchant training

The abovementioned key responsibilities are described in detail below:

a) Board approved policy for merchant acquisition

- i. Implement policies that include standards to ensure quality / business conduct to mitigate risk to the IPS in terms of financial or reputational risk.
- ii. The policies must be approved by the Acquiring IPSP's board of Directors and should have a periodic review mechanism.

b) Agreements with various stakeholders

- i. Merchant agreement in place with each merchant / aggregator (as appropriate) before any service is provided.

- ii. Appropriate agreements to be in place with any third party service provider (as may be required) in case of any of the activities pertaining to merchant acquiring portfolio is outsourced.
- iii. Merchant agreements must be reviewed from time to time and updated appropriately with changes, if any.

c) Suggest Criteria for Merchant underwriting

- i. Acquiring IPSP to verify the merchant (or its mobile application) on origin of country and ownership for foreign ownership to ensure that there is no conflict with regulator or Government guidelines.
- ii. The underwriting process should provide clarity on permitted merchant types, segments and allocation of MCCs.
- iii. Validation of merchant key information i.e., beneficial ownership, physical address, BIPA good standing, NAMRA good standing etc.
- iv. Website / mobile merchant information screening to ascertain nature of business.
- v. Quantifying new merchant's financial risk exposure (e.g., sale volume, dispute history, delivery method, contingent liability) wherever applicable.
- vi. KYC validation, sanction screening, other verifications, wherever applicable, as may be required.
- vii. Assessing compliance with applicable data security standards and requirements.

viii. An acquiring IPSP must classify merchants into Critical, High, Medium & Low risk segments so that appropriate oversight, monitoring and due diligence is suitably carried out on a periodic business.

ix. An IPSP must have a prohibited merchant categories / lines of business as guided below:

- Exclude merchant categories that been banned under National laws and regulations as may be applicable.
- Exclude merchants operating such business that is not specifically permitted by the Bank of Namibia, any other regulator or competent authority.
- Exclude merchants that pose a high brand (or reputational) risk.
- Exclude merchants operating in financial products / services that are not regulated.

d) Merchant portfolio and risk management

- i. An acquiring IPSP shall monitor the merchants onboard by aggregators.
- ii. Use predetermined merchant sales volume, transaction amount parameters for risk monitoring purposes.
- iii. Monitor sudden increases and dips in merchant volumes.
- iv. Monitor merchant level fraud to sales, chargebacks to sales, reversals and refunds.
- v. Website verification for online merchants to review product / service offerings, refund / cancellation policies, delivery mechanisms as well as terms and conditions.
- vi. Carry out investigations for suspicious or questionable transactions.

vii. Inactive / dormant merchant review

e) Merchant Training

- i. Acquiring IPSPs must create training modules with merchants on the acceptance methods and guidelines.
- ii. Training to be conducted physically / virtually with adequate information in line with policy of the acquiring IPSP.
- iii. FAQ's along with Do's and Don'ts to be published by the acquiring IPSP.

13.13. Merchant Mobile Application Rules

To enable IPS payments on a merchant's mobile application, the Merchant App must meet the following conditions:

- a) Software Development Kit (SDK) Integration:** The IPS Plug-In is integrated into the Merchant App using the SDK approach.
- b) Compliance with IPN & Sponsor IPSP:** The Merchant App must complete due diligence and meet the Sponsor IPSP's and IPN's enablement requirements.
- c) Clear Customer Communication:** The Merchant App must clearly inform users that the IPS payment service is provided by the Sponsor IPSP. The IPSP's logo and name should be prominently displayed when initiating payments.
- d) Regulatory Compliance:** The Merchant App must adhere to all IPN, and regulatory guidelines related to the IPS services.
- e) Critical Updates:** Any mandatory updates to the Sponsor IPSP's SDK must be implemented immediately to ensure seamless functionality.
- f) Complaint & Dispute Resolution:** The Merchant App must allow users to raise complaints and disputes for IPS transactions.
- g) Delinking Option:** The Merchant App must provide users with an option to de-link their profile from the IPS Plug-In service, preventing further payments through the app.

14. Merchant Cash-In

15. Merchant Cash-Out